Company Overview & Evaluation

CROX-US

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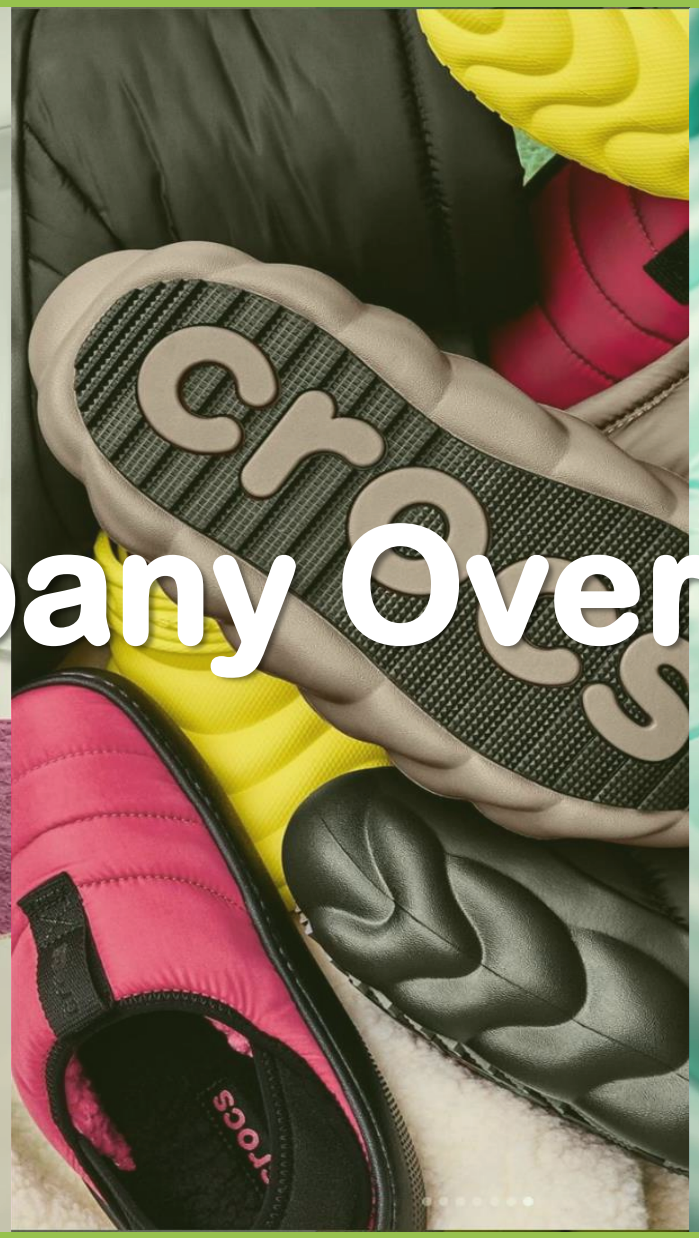
CROCS inc™

Company Overview



Company Overview

Crocs is a global footwear brand known for its signature lightweight, foam clogs. It operates across casual and comfort footwear categories, catering to a broad audience with a mix of functional and trendy designs.

Headquarters: Bloomfield, Colorado, USA
Founding: 2002
IPO: February 8, 2006, at $21 per share
Current Share Price: $111
Employees: ~6,700 employees
Acquired HeyDude February 2022 for $2.3 billion

Competitors

SKECHERS
adidas
DECKERS BRANDS
STEVE MADDEN
BIRKENSTOCK

Characteristics

1. Personalization and Customization
2. Collaboration and Limited-Edition Drops
3. Focus on Comfort and Sustainability

Strategic Pillars

1. Drive youth female culture and create a HEYDUDE brand community
2. Build the core, our Wendy and Wally and more
3. Stabilize, then accelerate North America

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Business Overview

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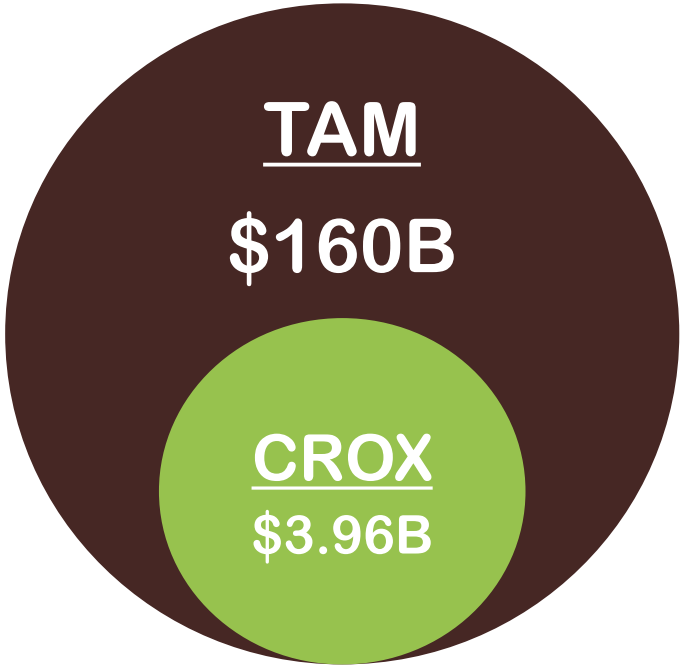
crocs

Q3 2024 Revenue
$858M

+8% YoY growth



Industry CAGR
3.3%

HEY DUDE

Q3 2024 Revenue
$204M

+17% YoY growth

Product Offerings

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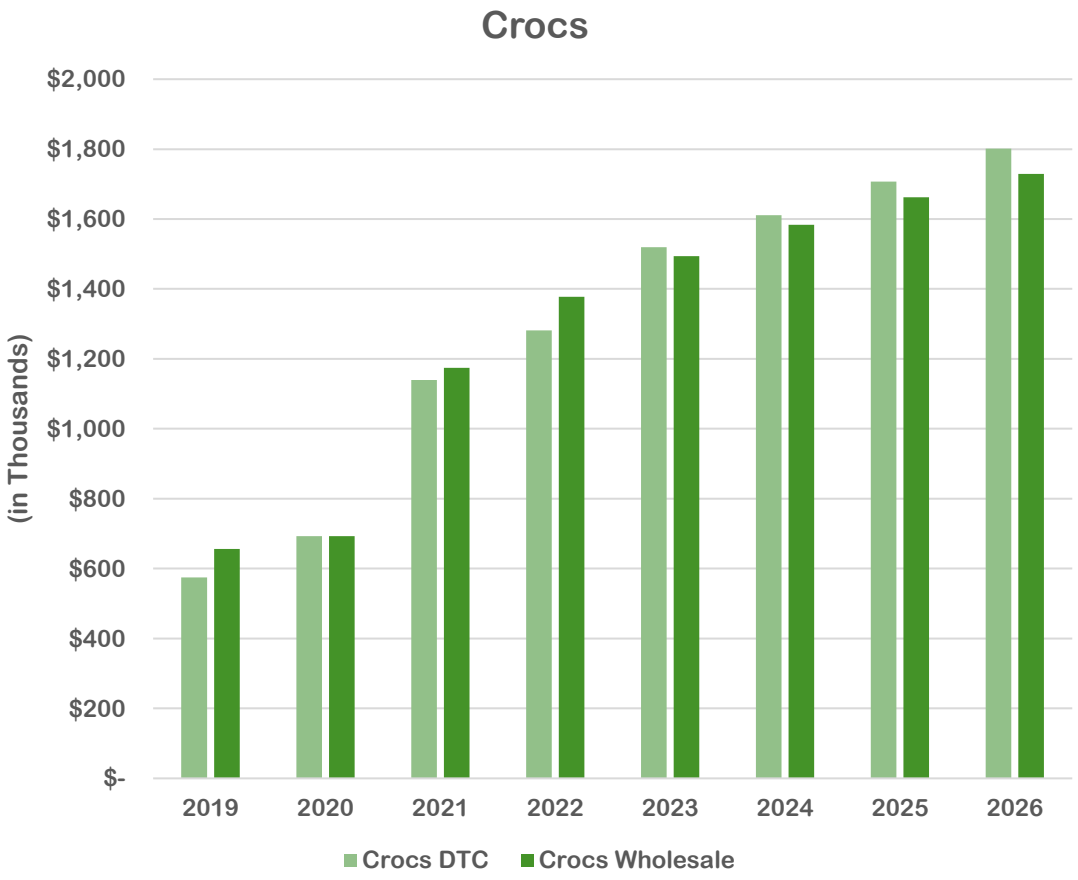
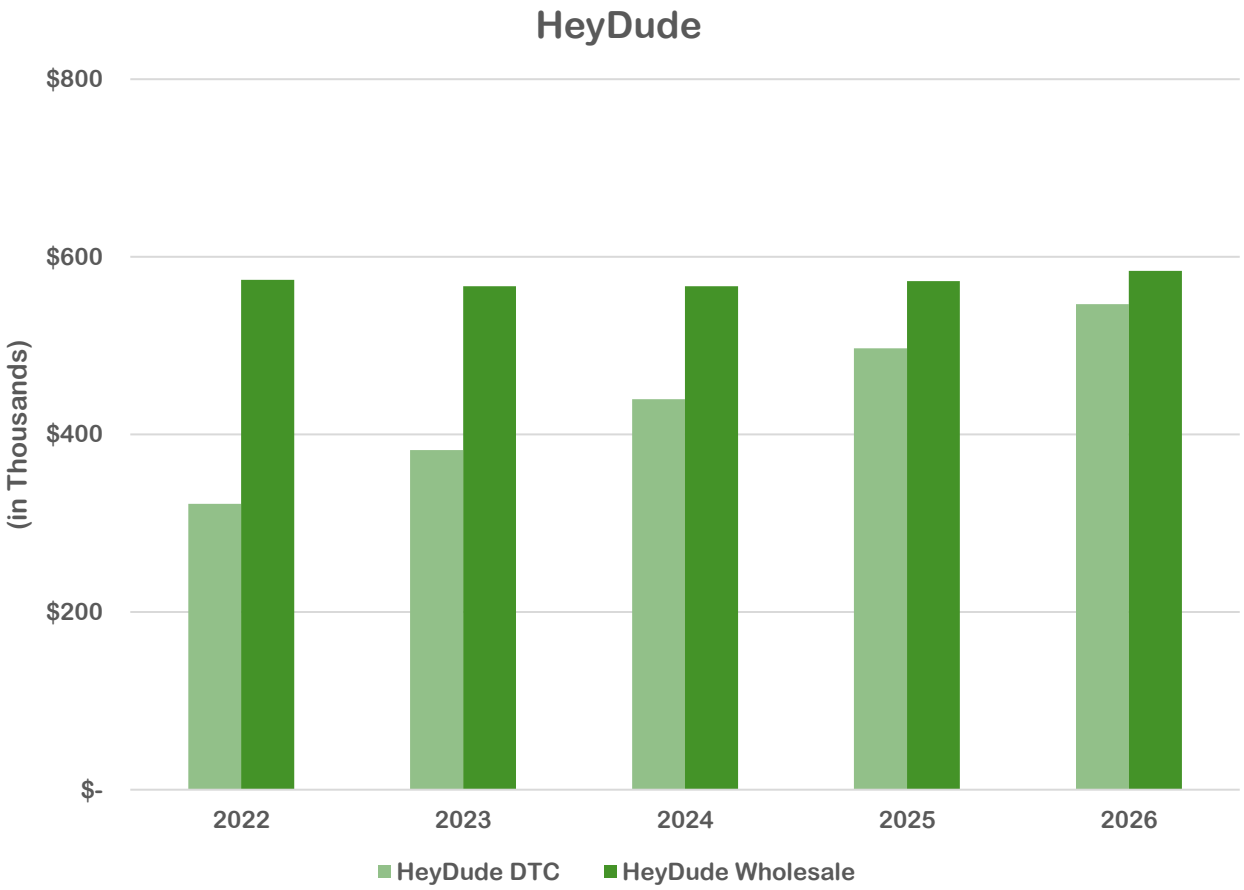
Crocs

HeyDude

Diversified Sources of Growth





Using the Trailing Twelve Month ratio

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Market Map & Highlights

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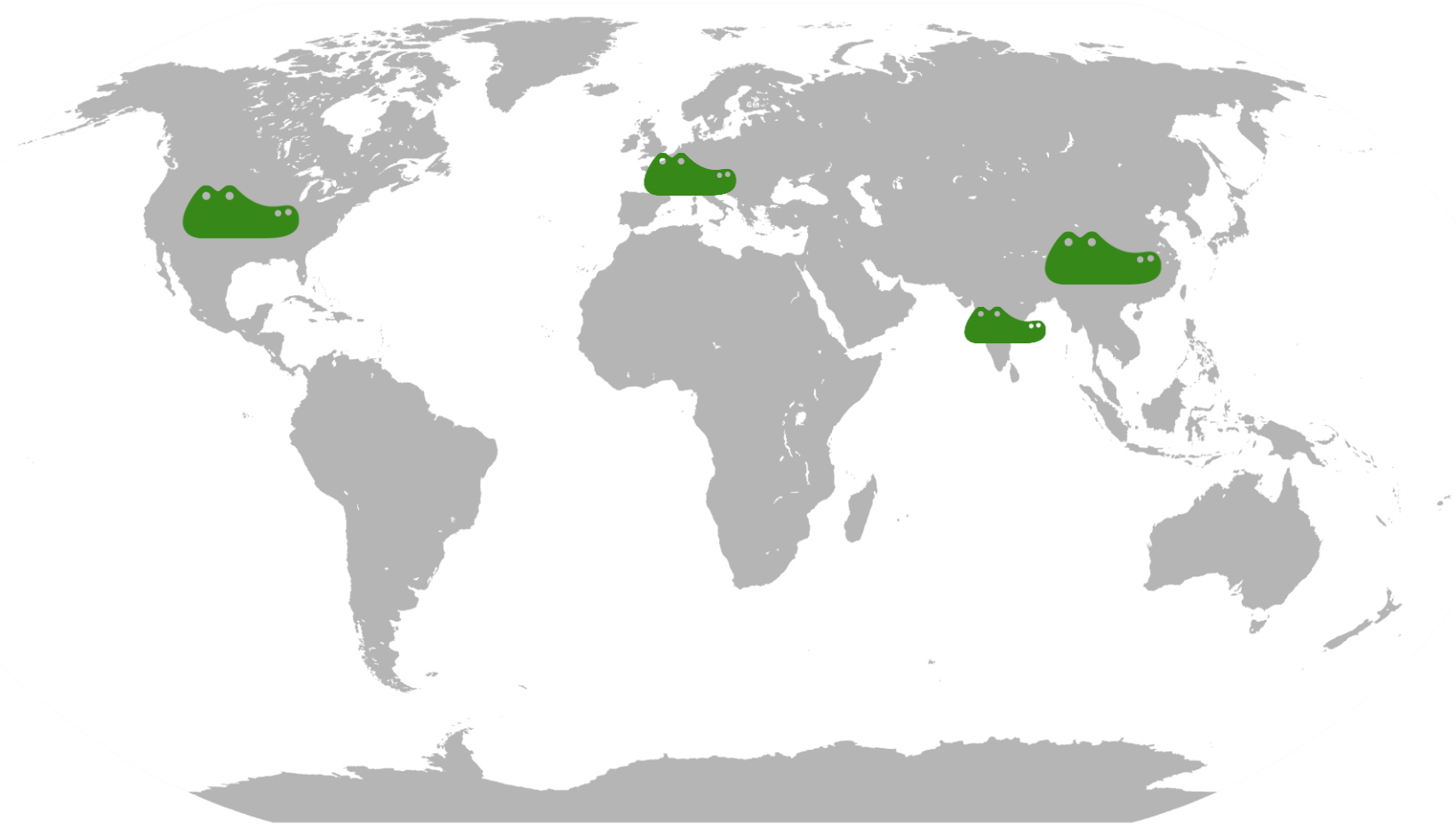

Tier 1 Markets

China, India, Japan, South Korea, the U.S., and Western Europe.

Strong international growth from our Crocs brand, +17% led by Australia, China, France and Germany.

China grew >20% on top of >90% growth, with 2/3 of growth driven by mono-brand partner stores.

Current Industry Overview

Timeline of Key Events

2020-2021

Growing Emphasis on Sustainability	Increase in Adoption of Comfort Shoes

Crocs announces the acquisition of HeyDude for $2.5 billion.

2022

Return to Physical Stores with a Focus on Experience	Growing Emphasis on Sustainability

Croslite material Crocs began hitting shelves worldwide in early 2022.

2023

Increased Supply Chain Costs and Price Adjustments	Expansion into Emerging Markets

Crocs mitigated rising supply chain costs through strategic price adjustments and drove revenue growth by expanding into emerging markets, particularly in Asia and Latin America.

External Drivers

- Technological Advancements in Manufacturing
- Volatile Supply Chain Costs and Logistical Challenges
- Sustainability Demands
- Economic Uncertainty and Consumer Spending Patterns
- Collaborations and Strategic Partnerships for Market Relevance

Key Takeaways

- Commitment to Sustainability is Non-Negotiable
- Digital and Direct-to-Consumer (DTC) Channels are Essential Growth Engines
- Navigating Supply Chain Costs with Strategic Pricing and Efficiency

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Future Industry Overview

Future Key Events

US-China Trade Relations & Tariffs

- Tariffs on footwear imports from China remain a significant cost driver for the industry. Approximately 65% of footwear sold in the U.S. is manufactured in China.
- Crocs has diversified its supply chain, with Vietnam now accounting for 50% of its production as part of cost mitigation efforts.
- Impact on Margins: If tariff rates increase, it could reduce Crocs' 2024 projected EBITDA margin (32.9%), but diversification protects against severe margin erosion.

2024 Presidential Election Economic Policies:

- Potential changes in corporate tax rates post-election could impact Crocs' effective tax rate, currently around 21%. A corporate tax hike could lower net income (2023: $801M) by as much as 8-10%.
- Proposed stimulus measures to boost consumer spending could benefit discretionary categories like footwear, potentially increasing sales growth projections (6.07% in 2024)..

External Drivers

- Global Spending Trend
- E-Commerce and Digital Innovation
- Supply Chain Optimization
- Global Economic Outlook

Key Takeaways

- Strong Margins Despite Tariffs
- Industry Tailwinds in Athleisure and Wellness
- Digital and Sustainability Growth

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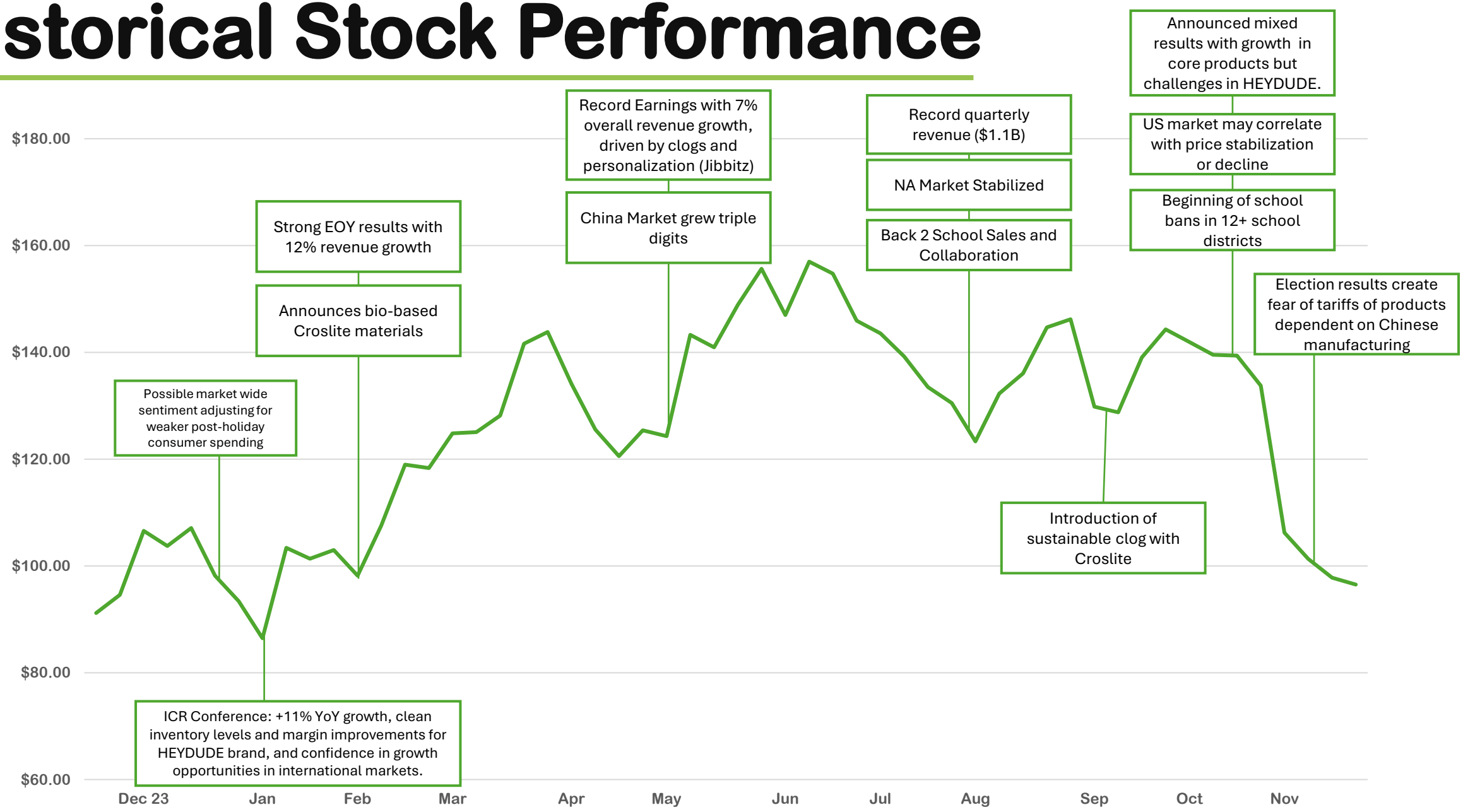
Historical Performance

Historical Stock Performance



Operational Analysis

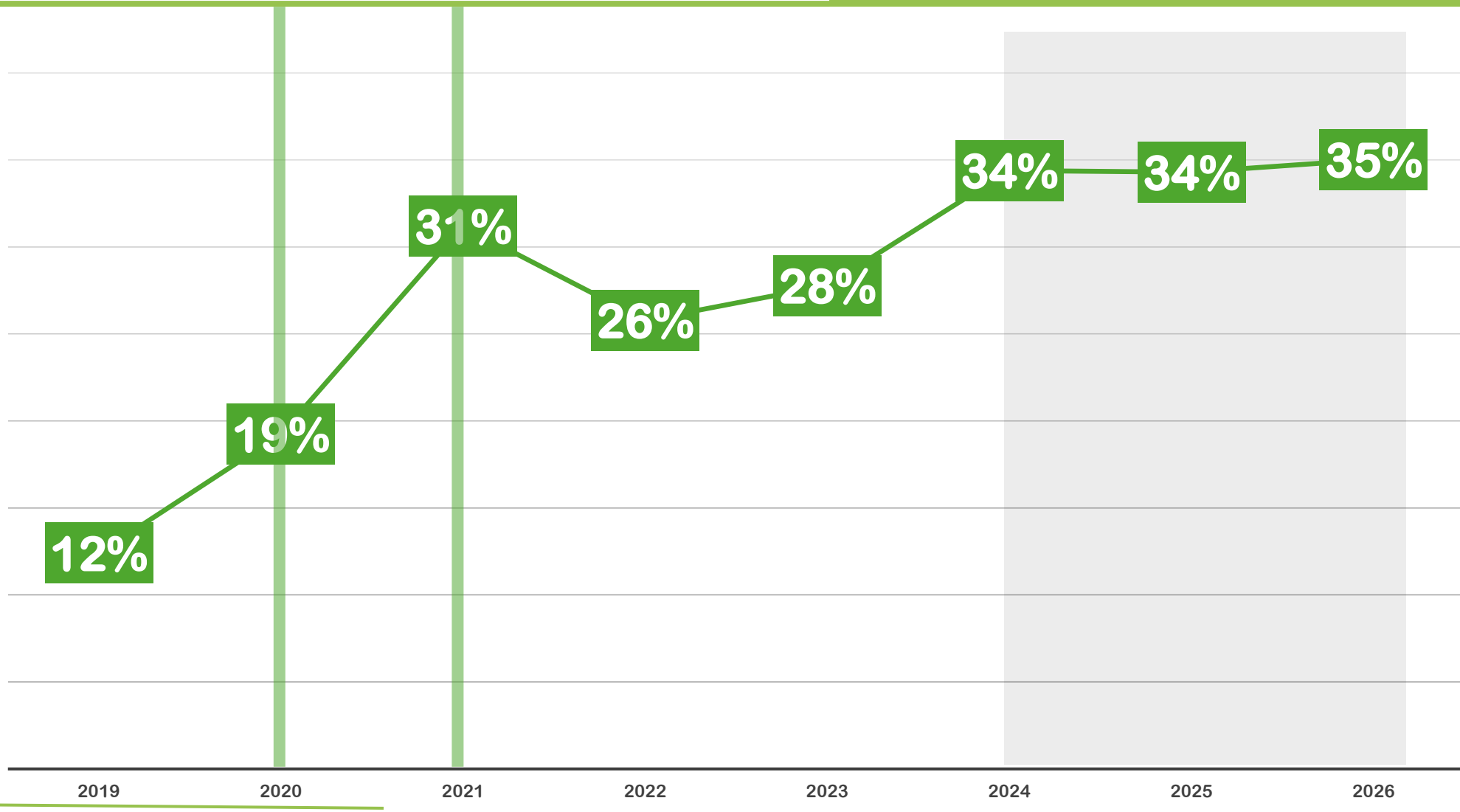
EBITDA Margin

Peak in 2021 during the Pandemic.

Temporary decline in 2022 due to HeyDude integration.

Recovery after 2023 as operational efficiencies improved and HeyDude integration began to stabilize costs.

Predict margins to stabilize reflecting sustainable growth fueled by premium product launches, direct-to-consumer focus, and international expansion.



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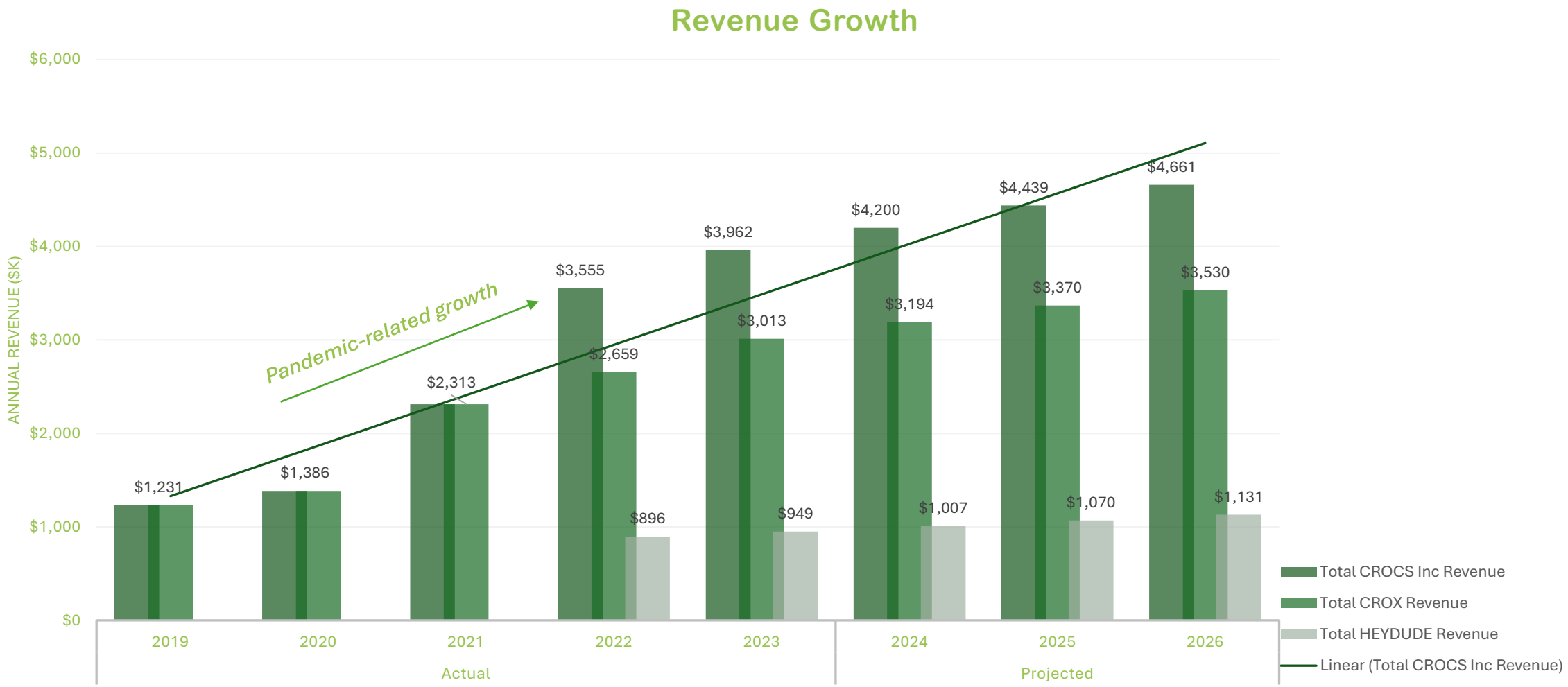
Revenue



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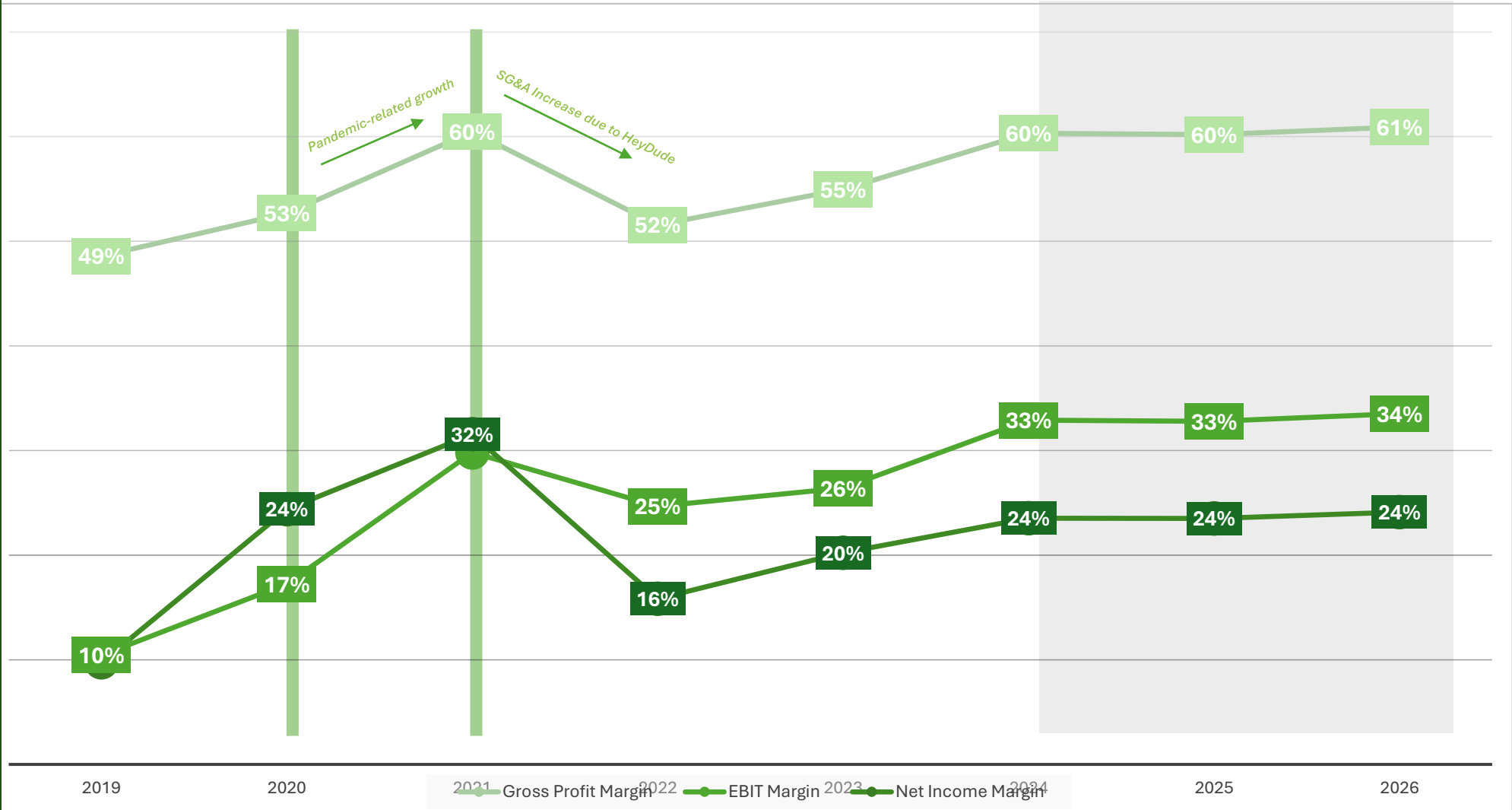
Gross Profit, EBIT, & Net Income Margins

Pandemic-Driven Peak in 2021 due to high demand for comfort footwear, DTC channel expansion, and pricing power.

Temporary decline in 2022 due to HeyDude integration.

Margins began to recover as operational efficiencies improved and HeyDude synergies materialized.

Predict margins to stabilize reflecting sustainable growth fueled by premium product launches, direct-to-consumer focus, and international expansion.



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Drivers

Drivers					
Revenue Growth	6.0%	5.7%	5.0%	6.0%	6.0%
Total Expense Margin	67.1%	67.2%	66.5%	67.0%	67.0%
Deprecation/Revenue	1.5%	1.5%	1.5%	1.5%	1.5%
Capital Expenditure/Revenue	2.7%	2.7%	2.7%	2.7%	2.7%
NWC	455	509	562	494	524
NWC/Revenue	9.8%	9.8%	9.7%	10.0%	10.0%

Revenue growth is stabilizing, driven by international markets and direct-to-consumer (DTC) strategies.

Margins improved due to production efficiencies and economies of scale post-HEYDUDE acquisition.

Operating expenses remain stable, reflecting disciplined cost management and digital investments.

CapEx stays below 3% of revenue, aligning with Crocs' disciplined investment strategy.

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Supply Chain Overview

Manufacturing Locations

Asia

China

Vietnam

Indonesia

Europe

Bosnia

Romania

North & South America

Mexico

Brazil

Argentina

… Expanding into India

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Supply Chain Overview

Materials

1.Croslite (PEVA): This is the main material, offering cushioning and support while being *shock-absorbent*.

2.Textiles: Some Crocs feature fabric parts, particularly in more advanced or stylish designs.

3.Rubber Soles: Certain models, especially those designed for rugged use, incorporate rubber soles for *extra grip and durability*.

Croslite is a proprietary, closed-cell resin material that's made from polyethylene vinyl acetate (PEVA), also known as EVA.

Crocs sources Croslite from chemical manufacturers like DOW Chemical.

In Crocs' financials, COGS as a percentage of revenue ranged from **39.52% (2021)** to **48.43% (2022)**, indicating variability due to raw material costs.

Supplier Overview

Supplier	Description	Criticality	Industry / Sector
DUPONT	Prominent global company that operates in various sectors, including high-performance materials, electronics, specialty chemicals, agriculture, and biotechnology	High due to Dupont's role in providing high-quality specialty materials (Croslite)	Basic Materials Chemicals - Plastics & Rubber
EASTMAN	Operates as a global leader in the manufacture and sale of a diverse portfolio of chemicals, plastics, and fibers.	Moderate with potential risks if prices rise for plastics and fibers.	Basic Materials Chemicals - Plastics & Rubber
	Operates as a global leader in the manufacture and sale of a diverse portfolio of chemicals, plastics, and fibers.	Moderate with variability depending on freight market dynamics.	Basic Materials Chemicals - Plastics & Rubber
	Global logistics services company that specializes in handling the complex details of international freight forwarding and supply chain management.	High as logistics efficiency is central to Crocs' cost management and delivery timelines.	Transportation Marine Transportation
TRECORA Resources	The Company's principal business activities are the manufacturing of various specialty petrochemical products and synthetic waxes and the provision of custom processing services	Low given its role in very niche products therefore only impacting specialty product lines or smaller components.	Energy Oil & Gas Integrated Operations

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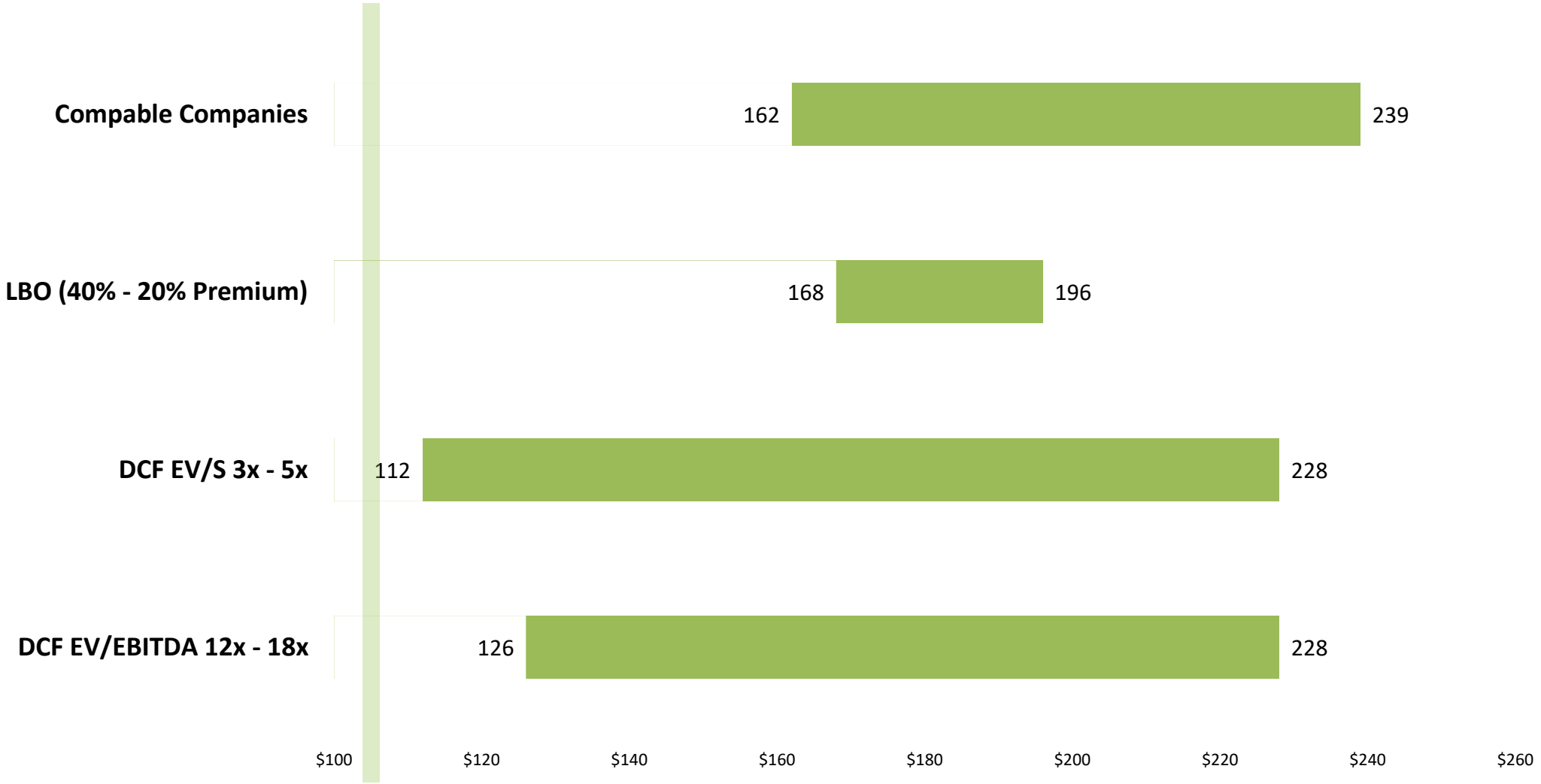
Valuation

Football Field Valuation



DCF

Simple Free Cash Flow	**181**	**381**	**787**	**445**	**1,047**	**1,083**	**1,160**	**1,250**
Simple Free Cash Flow per Share	*2.52*	*5.56*	*12.36*	*7.18*	*16.91*	*17.76*	*19.33*	*21.19*
Simple Free Cash Growth		*120.9%*	*122.1%*	*-41.9%*	*135.5%*	*5.1%*	*8.8%*	*9.6%*
Consensus Simple Free Cash Flow	*14.7%*	*31.3%*	*37.4%*	*21.1%*	*18.6%*	*10.12*	*11.66*	*14.37*
Drivers								
Depreciation and Amortization	24	28	32	39	54	63	67	70
Depreciation/Revenue	*2.0%*	*2.0%*	*1.4%*	*1.1%*	*1.4%*	*1.5%*	*1.5%*	*1.5%*
Capital Expenditures	(37)	(42)	(56)	(104)	(116)	(113)	(120)	(126)
Capital Ex/Revenue	*-3.0%*	*-3.0%*	*-2.4%*	*-2.9%*	*-2.9%*	*-2.7%*	*-2.7%*	*-2.7%*
Operating CF	144	339	731	341	932	970	1,040	1,125
Operating Working Capital	190	220	252	481	389	455	509	562
Change in NWC		30	32	228	(91)	65	55	53
Net Debt	235	189	707	2,322	1,761	1,371	1,371	1,371
Net Debt/EBITDA	1.5x	0.7x	1.0x	2.5x	1.6x	0.9x	0.9x	0.8x
Unlevered Free Cash Flow								
EBIT	128	239	690	877	1,046	1,382	1,456	1,563
- Taxes	0	109	64	(211)	(99)	(345)	(364)	(391)
+ D&A	24	28	32	39	54	63	67	70
- Capital Expenditures	37	42	56	104	116	113	120	126
- Changes in NWC	-	(30)	(32)	(228)	91	(65)	(55)	(53)
Cash Flow to the Firm	**189**	**388**	**809**	**581**	**1,209**	**1,148**	**1,224**	**1,314**
Discount Rate (FactSet) - WACC	*9.0%*				PV of CF - Firm	1,123	1,099	1,084	**3,307**

Terminal Value	Exit Multiples	TV	PV of TV	MV	Shares	MV/Share	Return Profile
EV / EBITDA	7.5x	12,244	9,468	11,013	62	177.76	*27.0%*
EV / Revenue	2.6x	12,118	9,370	10,915	62	176.19	*25.8%*

Value	176.98
Current Price	140.00
Implied Upside / Downside	26.4%

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Leveraged Buyout

Proforma Financial Statement	2024	2025	2026	2027	2028
Revenue	4,200	4,439	4,661	4,940	5,237
Total Expenses	2,819	2,983	3,098	3,310	3,509
EBIT	1,382	1,456	1,563	1,630	1,728
Less: Interest Expense	365	341	317	292	268
EBT	1,017	1,115	1,246	1,338	1,460
Taxes	213	234	262	281	307
Net Income	803	881	984	1,057	1,154
Plus: Depreciation	126	133	140	74	79
Less: Changes in Net Working Capital	65	55	53	-68	30
Less: Capital Expenditures	113	133	135	133	141
Cash Available for Debt Payment	750	826	936	1,066	1,061

Drivers					
Revenue Growth	6.0%	5.7%	5.0%	6.0%	6.0%
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Deprecation/Revenue	1.5%	1.5%	1.5%	1.5%	1.5%
Capital Expenditure/Revenue	2.7%	2.7%	2.7%	2.7%	2.7%
NWC	455	509	562	494	524
NWC/Revenue	9.8%	9.8%	9.7%	10.0%	10.0%

Transaction Value	
Current Share Price	140.00
Premium	20%
Offer Price	168.00
Shares Outstanding	62
Purchase Price	10,408
Plus: Debt	1,761
Less: Cash	149
Transaction Value	12,020
TTM EBITDA	1,107
Transaction Value/EBITDA	10.9

Sources and Uses	xEBITDA	Amort	% Total	Amount
Debt	6	15	51%	6,643
Sponsor's Equity			49%	6,278
Total Sources			100%	12,920
Transaction Value			93%	12,020
Beginning Cash Balance			4%	500
Transaction Expenses			3%	400
Total Uses			100%	12,920

Debt Schedule					
Debt Schedule	6,643	6,200	5,757	5,314	4,871
Debt Paydown	443	443	443	443	443
Total Ending Balnce	6,200	5,757	5,314	4,871	4,428
Cash Balance					
Beginning Balance	500	808	1,191	1,684	2,307
Plus: Excess Cash Flow (Row 19 - debt paydown)	308	383	493	623	618
Ending Balance	808	1,191	1,684	2,307	2,925
Interest Expense					
Debt Balance	6,643	6,200	5,757	5,314	4,871
Interest Rate	5.50%	5.50%	5.50%	5.50%	5.50%
Interest Expense	365	341	317	292	268

Investor Returns					
EBITDA	1,508	1,589	1,702	1,704	1,807
EBITDA Multiple	11	11	11	11	11
Enterprise Value	16,372	17,252	18,484	18,505	19,616
Net Debt	5,392	4,566	3,630	2,564	1,503
Equity Value	10,980	12,686	14,854	15,941	18,113
	1	2	3	4	5
IRR	75%	42%	33%	26%	24%

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Merger Possibilities

	Strategy	Logic	Synergies
STEVE MADDEN	A compelling fit to diversify Crocs' portfolio by entering the fashion-forward market.	Steve Madden's established brand equity in North America complements Crocs' global footprint.	●●●●●
allbirds	Enhances sustainability exposure but less aligned with Crocs' focus on affordable, high-margin products.	Limited scalability and smaller size relative to Crocs reduce the financial viability of this merger.	●●●○○
	Broadens Crocs' offering into lifestyle and performance footwear while leveraging global reach.	Logical fit due to Skechers' scale and retail footprint, though product overlap limits growth upside.	●●●●○

Divestiture Recommendation

Crocs should consider divesting from HeyDude to refocus on its core brand and streamline operations for sustainable growth. The underperformance of HeyDude has negatively impacted Crocs' financial performance, contributing to a decline in stock value and increased expenses

Subsidiary Overview

Acquired by Crocs in February 2022 for $2.5 billion, HeyDude specializes in casual footwear known for comfort and lightweight design.

Despite initial growth, HeyDude's performance has decline, with revenues decreasing by 17.4% to $204 million in Q3 2024.

Alignment with Core Operations

The brand's focus in casual loafers differs from Crocs' product line of foam clogs, leading to challenges in brand integration and market positioning.

Subsidiary Overview

The subsidiary's declining sales and profitability suggests that divesting may have limited impact on Croc's overall revenue, allowing the company to concentrate resources on its more successful core brand.

Pros

- **Refocus on Core Brand**: Enable Crocs to concentrate on its primary product line, which has shown consistent growth.
- **Financial Improvement**: Reducing the financial burden associated with HeyDude's underperformance could enhance overall profitability.
- **Operational Efficiency:** Streamlining operations by eliminating a struggling subsidiary may lead to better resource allocation and management focus.

Cons

- **Loss of Diversification:** Divesting HeyDude would reduce Crocs' product portfolio diversification, potentially limiting market reach.
- **Potential Market Perception:** The divesture might be perceived negatively by investors affecting stock market.
- **Transition Costs**: The process of divesting could incur significant costs and require substantial management attention.

Acquire Steve Madden

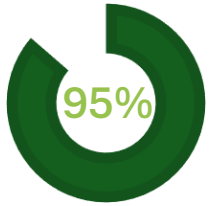
After conducting detailed analysis on the Crocs and Steve Madden merger, I conclude that this strategic move will bolster Crocs' market leadership and strengthen its position in the global footwear industry.

Overview

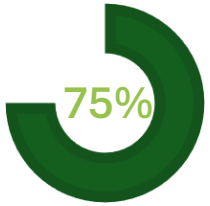
- The merger combines Crocs' leadership in comfort and casual footwear with Steve Madden's expertise in trendy, fashion-forward products, broadening the addressable market.
- Leveraging Crocs' global distribution and Steve Madden's strong branding unlocks cross-selling opportunities.
- Cost reductions in supply chain, SG&A, and shared marketing amplify margin expansion.

Products

Market Reach



Growth



Company Details

	Crocs	Steve Madden
HQ	Bloomfield, CO	Long Island City, NY
Ownership	Public	Public
Revenue (2023)	$4,000M	$2,000M
EBITDA (2023)	$1,382M	$246M
PF EBITDA	$1,663M (2024E, incl. synergies)	

Stock Details

Attribute	Crocs	Steve Madden
Price	$130.68	$45.31
52-Week High	$150	$48
52-Week Low	$90	$38

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Product Offerings Synergies

Crocs

Steve Madden

Acquire Steve Madden

After conducting detailed analysis on the Crocs and Steve Madden merger, I conclude that this strategic move will bolster Crocs' market leadership and strengthen its position in the global footwear industry.

Assumptions				
Purchace Price			**Financials**	
Current price (Steve Madden)	45.31		% stock consideration	10%
Premium	10%		% cash consideration	90%
Offer Price	49.84			
Fully Diluted Shares	72.6		$ Stock issued	362
Purchase Price	3,619		$ Debt financing	3,258
Current price (CROX)	130.68		# CROX shares issued	2.77
Exchange Ratio	0.38		Cost of debt	6%

		Projection Period		
		2024	2025	2026
CROX EBIT (Acquirer)	operating income	1,382	1,456	1,563
Steve Madden EBIT (Target)		246	275	280
Synergies		35	35	35
Pro Forma Combined EBIT		1,663	1,765	1,878
CROX Standalone Interest Expenses		64	64	64
Incremental Interest Expense		195	195	195
Earnings Before Tax		1,403	1,506	1,618
Income Tax Expenses	21%	295	316	340
Proforma Combined Net Income		**1,108**	**1,190**	**1,278**
CROX Standalone Net Income		988	1,044	1,124
CROX Standalone Diluted Shares Outstanding		61	60	59
Net New Shares Issued in Transactions		3	3	3
Proforma Diluted Shares Outstanding		**64**	**63**	**62**
Proforma Combined EPS		17.38	18.95	20.70
Gentex Diluted EPS		16.20	17.40	19.05
Accretion Monetary		1.18	1.56	1.65
Accretion Percentage		7.3%	8.9%	8.6%
Accretive/Dilutive		Accretive	Accretive	Accretive
Breakeven Pre-Tax Synergies/(Cushion)		-95	-124	-129

Acquire Steve Madden

After conducting detailed analysis on the Crocs and Steve Madden merger, I conclude that this strategic move will bolster Crocs' market leadership and strengthen its position in the global footwear industry.

M&A Benefit

- **Expanded Market Reach:** Combining Crocs' strong global presence with Steve Madden's stylish and trend-forward brand allows penetration into diverse customer segments.
- **Cost Efficiencies:** Shared supply chains, marketing initiatives, and logistics will drive operational synergies, reducing costs.
- **Enhanced Product Portfolio:** Leveraging both brands' unique identities to appeal to fashion-conscious and comfort-seeking consumers.

Strategic Impact

- The merger blends Crocs' dominance in comfort and casual footwear with Steve Madden's focus on fashion-forward, affordable products, creating a stronger value proposition for diverse demographics.
- A disciplined integration process minimizes risk, as evidenced by breakeven pre-tax synergies with a $95M cushion below projections.
- Increased pro-forma combined net income rises from $1,108M in 2024 to $1,278M by 2026, delivering consistent earnings growth to investors.
- Projected 8% CAGR (Compound Annual Growth Rate) for revenues over the next three years highlights the robust growth potential of the combined entity.

$35M	Annual Synergies
+20%	Pro Forma EPS Growth by 2026
+7.3%	Year 1 Accretion
$3.6B	Total Combined Purchase Price

Tariffs

Trump Tariff Proposals Could Cost Americans $78 billion in Annual Spending Power, According to NRF Study. Steve Madden has Successfully restructured its supply chain to mitigate tariff impacts during the U.S.-China trade conflict under the Trump administration.

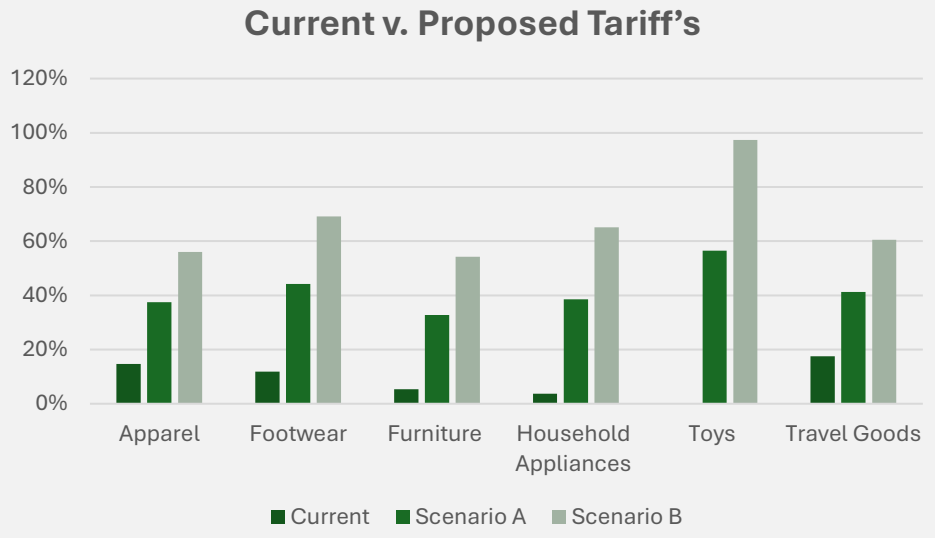
Impact of Tariffs on Footwear

Annual Impact

- U.S. tariffs on imported footwear cost American consumers $7.8 billion annually (NRF, 2023).

Steve Madden & Tariffs

- 95% of U.S. footwear is imported, making tariffs a critical issue for companies like Crocs and Steve Madden.



Scenario A: *10% tariff on all imports and an additional 60% tariff on imports from China (so, a tariff of 70% on imports from China)*
Scenario B: *20% tariff on all imports and an additional 100% tariff on imports from China (i.e., a tariff of 120% on imports from China).*

Steve Maddens Strategy

- Diversification of Manufacturing
- E-Commerce Channel Optimization
- Inventory Flexibility

Strengthens Case for Merger

- Supply Chain Synergies
- Margin Protection
- Cost Mitigation at Scale
- Diversification of Risk

Strategic Outlook

Strategic Recommendation

1. Divest from Hey Dude
2. Merge with Steve Madden
3. Focus on Innovation & Production
4. Adapt to new Political & Economic Realities

Strategic Recommendation

1. **Divest from Hey Dude**
2. **Merge with Steve Madden**
3. **Focus on Innovation & Production**
4. **Adapt to new Political & Economic Realities**

Overlapping Segments: Hey Dude competes directly with Crocs' core comfort footwear, leading to internal market cannibalization.

Financial Upside: Hey Dude's $6.45 per-unit profitability and high demand make it a valuable divestiture asset to fund strategic initiatives.

Capital Reallocation: Freeing up resources to invest in higher-margin opportunities like Steve Madden.

Strategic Recommendation

1. Divest from Hey Dude
2. **Merge with Steve Madden**
3. Focus on Innovation & Production
4. Adapt to new Political & Economic Realities

Enhanced Profitability: Steve Madden's $7.99 per-unit profitability significantly outpaces both Crocs and Hey Dude, offering immediate margin enhancement.

Diversified Portfolio: Steve Madden brings premium and fashion-forward products to complement Crocs' comfort and casual segments.

Synergies: Leverages Steve Madden's proven tariff-mitigation strategy (e.g., manufacturing diversification in Vietnam and Cambodia).

Global Reach: Expands Crocs' footprint in urban fashion markets, increasing revenue streams.

CROCS inc™

Strategic Recommendation

1. Divest from Hey Dude
2. Merge with Steve Madden
3. **Focus on Innovation & Production**
4. Adapt to new Political & Economic Realities

Efficiency Gains: Invest in automation and sustainable materials to maintain Crocs' industry-leading gross margins (60.34% in 2023).

Sustainability Leadership: Drive ESG initiatives, such as bio-based materials, to align with consumer and regulatory trends.

Technology-Driven Cost Control: Deploy AI-driven manufacturing and inventory optimization to further reduce costs.

CROCS inc™

Strategic Recommendation

1. Divest from Hey Dude
2. Merge with Steve Madden
3. Focus on Innovation & Production
4. Adapt to new Political & Economic Realities

Tariff Mitigation: Build on Steve Madden's supply chain strategy to minimize exposure to tariffs and geopolitical risk.

Tax Policy Preparedness: Adjust cost structures and pricing to remain resilient in the face of potential corporate tax increases post-2024 elections.

Consumer Spending Shifts: Leverage Crocs' pricing flexibility (ASP $24.45) to capture market share despite inflationary pressures.

CROCS inc™

Q&A

CROCS inc™

Appendix

Executive Team

Director and Chief Executive Officer

Andrew Reed joined Crocs in 2014 as President, became CEO in 2017. Has extensive experience in consumer goods, including roles at L.E.K consulting and Reebok

EVP & Chief Financial Officer

Anne Mehlenbacher joined Crocs in 2023. Brings over 25 years of financial leadership experience, previously serving as CFO of Fossil Group and key finance positions at L Brands.

EVP & Brand President for Crocs

Meegan Smith appointed EVP in 2021 after joining Crocs in 2018. Leads global strategy and operations for the Crocs brand. Previously held leadership roles at Deckers Brands.

EVP & Brand President for HeyDude

Shawn Gorman became EVP of Hey Dude after the acquisition in 2022. Has decades of experience in consumer-facing brands, previously serving as a senior executive at LL Bean.

EVP & Chief Information Officer

Bob McCarthy joined Crocs in 2020, overseeing technology and digital transformation. Previously served as CIO for Walmart International.

SVP of Distribution & Logistics

Chris Jaffee leads Crocs' global distribution and supply chain strategy. Has over 20 years of logistics experience, including leadership roles at Nike and Target.

Acquisition of HeyDude

Crocs acquired HeyDude in February 2022 for $2.5 billion as part of a strategic effort to diversify its product portfolio and capitalize on growth opportunities in the casual footwear market. Here are the key reasons Crocs pursued this acquisition:

Market Expansion

HeyDude's casual, comfortable, and lightweight products aligned with long-term consumer trends, providing Crocs an opportunity to expand beyond its iconic foam clogs into new footwear categories.

High-Growth Brand

At the time of acquisition, HeyDude was experiencing significant growth, with revenues expected to be immediately accretive to Crocs' high revenue growth, operating margins, and earnings.

Revenue Diversification

The addition of HeyDude was intended to diversify Crocs' product portfolio from a single-brand to a multi-brand company, reducing reliance on a single product line and providing resilience in a highly competitive market.

Synergies in DTC and Wholesale

Crocs aimed to leverage its global presence, innovative marketing, and scale infrastructure to grow HeyDude and create significant shareholder value.

Strategic vision

The acquisition was part of Crocs' long-term growth strategy to achieve $5 billion in annual revenue by 2026, with HeyDude expected to contribute significantly to this target.

Acquire Steve Madden

After conducting detailed analysis on the Crocs and Steve Madden merger, I conclude that this strategic move will bolster Crocs' market leadership and strengthen its position in the global footwear industry.

Assumptions					
Purchace Price			**Financials**		
Current price (Steve Madden)	45.31	Bloomberg	% stock consideration		10%
Premium	10%		% cash consideration		90%
Offer Price	49.84				
Fully Diluted Shares	72.6	DES	$ Stock issued		362
Purchase Price	3,619		$ Debt financing		3,258
Current price (CROX)	130.68		# CROX shares issued		2.77
Exchange Ratio	0.38	SHOO/CROX	Cost of debt		6%
			Projection Period		
			2024	2025	2026
CROX EBIT (Acquirer)	operating income		1,382	1,456	1,563
Steve Madden EBIT (Target)			246	275	280
Synergies			35	35	35
Pro Forma Combined EBIT			1,663	1,765	1,878
CROX Standalone Interest Expenses			64	64	64
Incremental Interest Expense			195	195	195
Earnings Before Tax			1,403	1,506	1,618
Income Tax Expenses	21%		295	316	340
Proforma Combined Net Income			**1,108**	**1,190**	**1,278**
CROX Standalone Net Income			988	1,044	1,124
CROX Standalone Diluted Shares Outstanding			61	60	59
Net New Shares Issued in Transactions			3	3	3
Proforma Diluted Shares Outstanding			**64**	**63**	**62**
Proforma Combined EPS			17.38	18.95	20.70
Gentex Diluted EPS			16.20	17.40	19.05
Accretion Monetary			1.18	1.56	1.65
Accretion Percentage			7.3%	8.9%	8.6%
Accretive/Dilutive			Accretive	Accretive	Accretive
Breakeven Pre-Tax Synergies/(Cushion)			-95	-124	-129

Timeline for Crocs

2002

The first Crocs shoe, called "the Beach", was launched by George Boedecker Jr. and Lyndon Hanson in Boulder, Colorado. The shoe was designed to be safe and convenient for boaters.

2005

The Schmelzer family launched Jibbitz, charms that could be used to decorate Crocs. Crocs later acquired Jibbitz, and the two are now sold together.

2008

Crocs faced a near-death experience when sales plummeted and inventory piled up. The company cut thousands of jobs.

2016–2017

Crocs sold 300 million pairs of shoes.

2018

Crocs closed its last company-operated manufacturing plants in Italy and Mexico.

Crocs Acquiring HeyDude

Crocs acquired the Italian shoe company Heydude in February 2022 for $2.3 billion:

- **Deal**: Crocs bought Heydude in a deal that included cash and stock.
- **Motivation**: Crocs wanted to expand its market and boost growth.
- **Results**: The acquisition had early success, with sales increasing 96% year over year in the second quarter of 2022. However, Heydude's overall revenue growth slowed in 2023.
- **Expectations**: Crocs expected Heydude to become a $1 billion brand by 2024.
- **Customization**: Crocs considered allowing customers to customize Heydude shoes in-house, as they can already do so through third parties on Etsy or eBay.

DOW Overview

1. **Dependence on Croslite Material**
   - Croslite, a proprietary material made from polythlene vinyl acetate (PEVA), is Crocs' core input, and Dow Chemical is a key supplier
   - Any supply chain disruption at Dow or raw material cost inflation could lead to increased production costs for Crocs, impacting profitability.
2. **Financial Data Indicators**
   - In Crocs' financials, COGS as a percentage of revenue ranged from **39.52% (2021)** to **48.43% (2022)**, indicating variability due to raw material costs.
   - A 5–10% fluctuation in Croslite raw material costs could lead to meaningful changes in gross profit margin, given Croslite's dominance in the product mix.
3. **Dow's Role in Cost Control**
   - If Dow offers Crocs favorable long-term contracts or hedging against raw material price votality, it directly stabilizes COGS.
   - Any disruptions in Dow's supply or price increases in chemical inputs would force Crocs to either absorb higher costs or pass them on, risking sales volume or margin compression.
   - If Dow controls a large share of global PEVA supply, Crocs' bargaining power might be limited, increasing its exposure to raw material cost votality.
   - Crocs efforts to diversify its supplier base or invest in alternative materials could mitigate DOW's influence on its cost structure.

Revenue Build

CROX	Actual					Projected		
	2019	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**
Wholesale	656,227	692,919	1,174,081	1,377,302	1,493,537	1,583,149	1,662,307	1,728,799
Wholesale growth		*5.6%*	*69.4%*	*17.3%*	*8.4%*	6.0%	5.0%	4.0%
Direct-to-consumer	574,366	693,032	1,139,335	1,281,823	1,519,417	1,610,582	1,707,217	1,801,114
Direct-to-consumer Growth		*20.7%*	*64.4%*	*12.5%*	*18.5%*	6.0%	6.0%	5.5%
Total CROX Revenue	**1,230,593**	**1,385,951**	**2,313,416**	**2,659,125**	**3,012,954**	**3,193,731**	**3,369,524**	**3,529,913**
Wholesale				574,140	566,937	566,937	572,606	584,058
Wholesale growth					*-1.3%*	0.0%	1.0%	2.0%
Direct-to-consumer				321,720	382,456	439,824	497,002	546,702
Direct-to-consumer Growth					*18.9%*	15.0%	13.0%	10.0%
Total HEYDUDE Revenue				**895,860**	**949,393**	**1,006,761**	**1,069,608**	**1,130,760**
Total Revenue	**1,230,593**	**1,385,951**	**2,313,416**	**3,554,985**	**3,962,347**	**4,200,493**	**4,439,132**	**4,660,673**
Total Revenue Growth		*12.6%*	*66.9%*	*53.7%*	*11.5%*	*6.0%*	*5.7%*	*5.0%*

Debt Schedule

	Actual					Projected		
Debt Schedule	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**
Beginning Debt						1,520	1,520	1,520
(-) Mandatory Repayment						-	-	-
(+) Issuance								
Ending Debt	**345**	**326**	**921**	**2,513**	**1,911**	**1,520**	**1,520**	**1,520**
Net Debt	**235**	**189**	**707**	**2,322**	**1,761**	**1,371**	**1,371**	**1,371**
Weighted-Average Interest Rate						4.22%	4.21%	4.21%
Interest Expense	9	7	22	136	161	64	64	64
Interest Coverage Ratio	17.7x	39.5x	33.3x	6.7x	6.8x	22.5x	23.8x	25.5x
Leverage Ratio	*1.5x*	*0.7x*	*1.0x*	*2.5x*	*1.6x*	*0.9x*	*0.9x*	*0.8x*
Target Leverage						*1.1x*	*1.1x*	*1.1x*

Maturity	Loan Amount	Interest Rate
2029	350	4.25%
2031	350	4.13%
2029	820	4.25%

Comparable Companies - Financials

Financial Comparables

Company	Ticker	Market Cap	Enterprise Value	Revenue Growth YoY	EPS Growth YoY	Pretax Margin	ROA	ROE	ROC	Div. Yield	Net Debt / EBITDA	Debt/ Com Eq
Crocs	**CROX**	**8,120**	**9,823**	**4%**	**5%**	**24%**	**14%**	**16%**	**30%**	**0%**	**1.5**	**93%**
Steven Madden	SHOO-US	3,420	3,406	8%	59%	8%	5%	13%	8%	2%	8.3	0%
Deckers Outdoor	DECK-US	24,130	22,953	18%	56%	5%	4%	10%	7%	0%	0.0	0%
SKECHERS USA A	SKX-US	10,220	10,963	-10%	24%	3%	8%	14%	14%	0%	0.3	28%
VF	VFC-US	7,880	14,630	-10%	-11%	-5%	-9%	-57%	5%	5%	7.8	368%
Wolverine World Wide	WWW-US	1,310	2,140	-9%	70%	-10%	-4%	-27%	-4%	5%	67.1	267%
NIKE B	NKE-US	122,210	124,560	10%	15%	13%	15%	40%	23%	2%	0.1	73%
adidas	ADS-DE	45,890	46,28	-5%	-	2%	1%	4%	6%	0%	3.1	98%
Interhides	IHL-TH	1,260	2,980	-11%	27%	4%	2%	4%	4%	0%	5.1	17%
Phoenix Footwear Group	PXFG-US	29.4	0	-8%	-24%	-9%	-11%	-96%	-8%	0%	-15.1	95%
Minimum		1,260	0	-11%	-24%	-10%	-11%	-96%	-8%	0%	-15.1	0%
First Quartile		2,893	2,770	-10%	8%	-5%	-4%	-27%	4%	0%	0.1	17%
Median		9,050	7,185	-8%	25%	3%	2%	4%	6%	0%	3.1	73%
Mean		27,040	22,704	-2%	27%	1%	1%	-11%	6%	1%	8.5	105%
Third Quartile		29,570	16,711	8%	57%	5%	5%	13%	8%	2%	7.8	98%
Maximum		122,210	124,560	18%	70%	13%	15%	40%	23%	5%	67.1	368%
Premium/(Discount)		-100.0%	-100.0%	-100.0%	-100.0%	-100.0%	-100.0%	-100.0%		-1	100.0%	100.0%

Comparable Companies - Valuation

Valuation Comparables												
Company	Ticker	Market Cap	3 year Rev. CAGR	Enterprise Value	TTM Price / Earnings	FY1 Price / Earnings	Current Price / CF	Price / Sales	EV /Sales	TTM Price / Book	TTM EV / EBITDA	FY1 EV / EBITDA
Crocs	**CROX -US**	**8,221**	**19.70%**	**10,130**	**10.7x**	**10.7x**	**8.7x**	**2.1x**	**2.5x**	**5.11X**	**8.95x**	**8.6x**
Steven Madden	SHOO-US	3,420	2.11%	3,406	19.9x	18.0x	16.08x	1.64x	1.64x	4.37x	13.4x	12.92x
Deckers Outdoor	DECK-US	24,130	9.83%	22,953	31.89x	30.83	27.07	5.8	5.47	12.27	22.86	22.91
SKECHERS USA A	SK -US	10,220	7.93%	10,963	18.2x	14.67	12.98	1.25	1.33	2.47	10.67	10.57
VF	VFC-US	7,880	-1.06%	14,630	0.0x	35.79	10.9x	0.8x	1.4x	5.98	16.85	13.06
Wolverine World Wide	WWW-US	1,310	0.14%	2,140	0.0x	17.05	25.02x	0.76x	1.20x	5.43x	232.01	28.71
NIKE B	NKE-US	122,210	4.79%	124,560	23.55x	28.76x	16.6	2.48	2.5	8.83	17.32	19.08
adidas	ADS-DE	45,890	0.31%	46,28	218.53x	44.06x.	16.61x	1.93x	2.14x	8.52	26.21	25.21
Interhides	IHL-TH	1,260	11.06%	2,980	21.4x	21.14x	7.13	0.57x	1.37x	0.74x	9.28x	27.0x
Phoenix Footwear Group	PXFG-US	29.4	-4.43%	0	0.0x	0.0x	0.79	0.03x	0.51	0.48x	59.79	0.0x
Minimum		1,260	-4.43%	0	0.0x	0.0x	0.8x	0.8x	0.5x	2.5x	10.7x	0.0x
First Quartile		2,893	0.14%	2,770	0.0x	15.3x	8.1x	1.1x	1.3x	6.0x	17.1x	12.4x
Median		9,050	2.11%	7,185	0.0x	17.5x	11.9x	1.9x	1.4x	8.5x	22.9x	21.0x
Mean		27,040	3.41%	22,704	7.6x	19.4x	12.6x	2.6x	2.3x	7.6x	55.1x	18.3x
Third Quartile		29,570	7.93%	16,711	18.2x	27.6x	15.7x	3.3x	2.5x	8.8x	43.0x	25.7x
Maximum		122,210	11.06%	124,560	19.9x	35.8x	27.1x	5.8x	5.5x	12.3x	232.0x	28.7x

Current Ratio

Balance Sheet			Actual		
Year	2019	2020	2021	2022	2023
Assets					
Current Assets					
Cash & cash equivalents	110	137	213	192	149
Accounts receivable	118	163	217	329	331
Finished goods	172	175	214	472	385
Inventories	172	175	214	472	385
Other current assets	25	18	23	34	45
Total Current Assets	**425**	**493**	**667**	**1,026**	**911**
Non-Current Assets					
Machinery & Equipment	39	47	54	147	164
Construction in Progress	4	8	53	29	13
Other Property, Plant & Equipment	84	88	85	103	181
Operating Lease Right-of-Use Assets	182	167	161	240	287
Plant, Property & Equipment	309	311	353	519	646
Less: accumulated depreciation	80	86	84	97	121
Deffered Taxes	25	351	567	528	668
Property, plant & equipment, net	230	225	269	421	526
Goodwill	49	39	30	2,515	2,504
Other assets	10	11	12	11	35
Total Non-Current Assets	**313**	**626**	**878**	**3,476**	**3,733**
Total Assets	**739**	**1,119**	**1,545**	**4,502**	**4,644**
Liabilities & Shareholder Equity					
Current Liabilities					
Short-term borrowings & Portion LT Debt	49	47	43	82	86
Accounts payable & drafts	96	113	162	231	261
Income Tax Payable	4	5	16	89	66
Current liabilities of business held for sale	109	127	167	239	286
Total Current Liabilities	**257**	**292**	**388**	**641**	**698**
Non-Current Liabilities					
Long-term debt	345	326	921	2,513	1,911
Other long-term liabilities	5	210	222	529	581
Total Non-Current Liabilities	**350**	**537**	**1,143**	**3,043**	**2,492**
Total Liabilities	**607**	**828**	**1,531**	**3,684**	**3,190**
CROX Corporation Equity, Net	132	291	14	818	1,454
Total equity	**132**	**291**	**14**	**818**	**1,454**
Total Liabilities and Shareholder Equity	739	1,119	1,545	4,502	4,644
Check	-	-	-	-	-

1.3

Indicates that Crocs is capable of covering its short-term obligations and has good short-term financial health. Balancing a current ratio like this suggests the company is managing its resources efficiently without having excess assets tied up that could be put to use elsewhere.

Comparison of Unit of Economics (Per Unit Basis)

Brand	Revenue (2023)	Operating Income (2023)	Operating Margin (%)	Average Selling Price	Estimated Units Sold ($M)	Operating Income per Pair
Crocs	$3.962B	$1.009B	25.67%	$24.45	162	$6.23
HeyDude	$949M	$200M+	21%	$30.65	31	$6.45
Steve Madden	$2.0B	$246M	12.3%	$65	30.8	$7.99

Steve Madden's **$7.99 per-unit profit** outpaces Crocs and Hey Dude, driven by its **premium pricing** and brand strength.

Crocs improved to **$6.23 per-unit profit** in 2023, showing strong scalability and margin expansion.

Hey Dude's **$6.45 per-unit profit** overlaps with Crocs, making a divestiture attractive to fund higher-margin opportunities with Steve Madden.

LBO Justification

Rev growth moderates as Crocs shifts focus from rapid expansion to sustained growth, driven by international markets and DTC strategies
Margin improves due to production efficiencies and economies of scale post-HEYDUDE acquisition
Operating expenses remain stable, reflecting Crocs' disciplined cost management and investment in digital platforms
CapEx remains below 3% of revenue, in line with Crocs’ disciplined investment strategy

Reflecting Crocs' efficient working capital management, balancing inventory and receivables with sales growth

Revenue Build Justification

Whole-sale growth - CROX

Seems like the growth rate is decreasing after the significant spike in 2021. This means that there might be slower growth as the market stabilizes.
2024: A 6% growth rate aligns with slowing but steady expansion in new markets and product lines, after the rapid post-pandemic recovery in prior years.
2025: A 5% growth rate accounts for further maturation of wholesale channels and continued geographic expansion.
2026: A 4% growth rate reflects expected stabilization in wholesale growth as international markets mature and as the company shifts more focus to DTC channels.

Direct-to-consumer - CROX

I think that Wholsale and DTC growth will most likely by around the same. With a sudden increase in DTC, I predict there will be a decrease and relative stability.

Wholesale growth - HEYDUDE

2024: A 0% growth rate reflects a stabilization period as HEYDUDE's wholesale business adjusts to the integration into Crocs' overall strategy.
2025: A 1% growth r`ate represents a slight recovery, driven by optimization of distribution channels and increased market penetration.
2026: A 2% growth rate for 2026 reflects modest but steady growth as HEYDUDE's presence solidifies in new markets.

Direct-to-consumer - HEYDUDE

2024: 18-20% growth — This assumes HEYDUDE continues to see strong DTC growth as the brand integrates further with Crocs' established digital platform and expands into new markets.
2025: 15-18% growth — This reflects a slight slowdown as the brand's DTC channel matures but continues to benefit from growing brand recognition and expanded online presence.
2026: 12-15% growth — By this time, HEYDUDE's DTC growth will begin to stabilize, as its DTC operations mature and approach the growth rates seen in Crocs' more established DTC channel.

Working Capital Schedule

Working Capital Schedule	Actual					Projected		
	2019	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**
Net sales	1,231	1,386	2,313	3,555	3,962	4,200	4,439	4,661
Cost of Goods Sold	633	656	914	1,722	1,785	1,666	1,767	1,821
Operating Current Assets								
Accounts Receivable	118	163	217	329	331	391	426	460
Inventory	172	175	214	472	385	388	436	474
Total Operating Current Assets	**290**	**338**	**431**	**801**	**716**	**779**	**861**	**934**
AR Days	35	45	43	41	32	34	35	36
Inventory Days	99	99	99	131	80	85	90	95
Operating Current Liabilities								
Accounts Payable	96	113	162	231	261	265	290	309
Accrued Liabilites	4	5	16	89	66	60	62	62
Total Operating Current Liabilities	**100**	**118**	**178**	**320**	**327**	**325**	**352**	**371**
AP Days	55	64	75	64	54	58	60	62
Accrued Liabilities as % of COGS	0.66%	0.77%	1.78%	5.18%	3.70%	3.60%	3.50%	3.40%
Operating Working Capital	**190**	**220**	**252**	**481**	**389**	**455**	**509**	**562**

Working Capital Justification

AR Days

2024: 34 days (mild increase as the market stabilizes after the 2023 drop).

2025: 35 days (assuming collections stabilize as operations mature).

2026: 36 days (a slight increase, assuming wholesale activities grow).

Inventory Days

2024: 85 days (a slight increase due to post-optimization stabilization).

2025: 90 days (as inventory levels normalize).

2026: 95 days (steady levels, reflecting growth in both wholesale and DTC sales).

AP Days

2024: 58 days (a slight increase as they negotiate payment terms).

2025: 60 days (reflecting better supplier relationships).

2026: 62 days (stabilization as they balance cash flow and supplier demands).

Accrued Liabilities

2024: 3.60% (slightly decreasing as operational efficiency improves).

2025: 3.50% (continued efficiency in managing liabilities).

2026: 3.40% (reflecting stable accruals as Crocs optimizes its operations).

Product Lines

- Wally
- Boots
- Sneakers
- Mules
- Wally Mid

- Wendy
- Boots
- Platforms
- Sneakers
- Mules

- Clogs
- Fuzz Lined
- Sandals
- Platform and Wedges
- Boots
- Slides
- Flip-Flops
- Sneakers
- Slippers
- Flats
- Jibbitz™ Charms
- Socks
- Bags

Crocs Historical Share

Competitor Stocks